TEACHER GUIDE

AQA A-level Business (7138)

Business and the external environment



3.3 Unit: Business and society, business and the external environment, strategy and change
3.3.2 Business and the external environment

A revision lesson. Pupils run a car dealership in firms of four and revise business and the external environment on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Passing on the rise

Round 1

The pound falls, so your imported cars cost more. Your buyers are very price sensitive.

If you pass on the full rise, what is most likely?

- **A** Your costs fall in pounds
- **B** Sales stay the same
- **C** Revenue rises with the higher price
- **D** Sales fall a lot and revenue falls

ANSWER

✓ Sales fall a lot and revenue falls

Why: With elastic demand, a higher price cuts sales by more, so revenue falls.

2 Pound and your firm

Round 1

You import cars from Europe and sell some to Irish dealers. The pound rises.

Which two effects are most likely?

- **A** Imports cost you more
- **B** Irish dealers buy more from you
- **C** Imports cost you less
- **D** Your costs do not change
- **E** Your cars cost more in Ireland

ANSWER

✓ Imports cost you less
✓ Your cars cost more in Ireland

Why: A strong pound: imports cheaper, exports dearer.

3 Euro cars in pounds

Round 2

Three cars on offer from European dealers, priced in euros.

Order by cost in pounds, cheapest first?

- **A** €23,100 at €1.05 to the £
- **B** €27,500 at €1.10 to the £
- **C** €30,000 at €1.25 to the £

ANSWER

1. €23,100 at €1.05 to the £
2. €30,000 at €1.25 to the £
3. €27,500 at €1.10 to the £

Why: £22,000, £24,000 and £25,000.

Topic tasks

4 Euro sale in pounds

Round 2

You sell used cars to an Irish dealer, in euros.

Fall in what the deal earns you, in £?

The deal, in euros	**€10,000**
£1 buys, before	**1.00**
£1 buys, now	**1.25**

ANSWER

£2,000

€10,000 ÷ 1.00 − €10,000 ÷ 1.25 = £2,000

Why: A stronger pound earns an exporter fewer pounds for the same euros.

5 Fixed or variable

Round 3

Your £100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

Which costs less over the year, and why?

A Stay on the variable rate

B Fix at 7%

ANSWER

✔ Fix at 7%

Why: Variable: £3,000 + £4,500 = £7,500 for the year; fixed at 7%: £7,000.

6 Rates: two effects

Round 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

Which pair of effects is most likely?

A Fewer buyers, dearer stock loans

B Fewer buyers, cheaper stock loans

C More buyers, cheaper stock loans

D More buyers, dearer stock loans

ANSWER

✔ Fewer buyers, dearer stock loans

Why: Dearer credit puts buyers off and raises the interest on your stock loan.

Final questions

Each pupil answers 6 final questions on business and the external environment. They come from these 10 questions.

1 A UK importer buys in euros and sells in pounds. Sterling depreciates against the euro; prices are unchanged. What is the immediate likely effect?
✔ **Each car costs more in pounds, cutting margin**

2 A UK importer must pay €240,000. The rate moves from £0.84 per euro to £0.89 per euro before payment. How much extra sterling is required?
✔ **£12,000**

3 A UK importer expects to pay €400,000. Each £0.01 rise in the sterling cost of one euro changes its cost by how much?
✔ **£4,000**

4 A dealer sells most new cars on finance and most used cars for cash. Interest rates rise. What is the most likely effect?
✔ **New car sales fall more: finance costs rise; used are cash**

5 The UK economy enters a recession. Which dealer is likely to be hit hardest?
✔ **One selling new luxury cars, mostly on finance**

6 A dealer imports a car priced at €30,000. Before payment the rate moves from £0.85 to £0.88 per euro. By how much does the sterling cost rise?
✔ **£900**

7 The Bank of England raises interest rates. Why might a dealer selling most cars on finance see demand fall?
✔ **Monthly repayments rise, so fewer customers can afford them**

8 Inflation rises to 8%. What is the most direct effect on a dealership?
✔ **Its costs, such as wages and parts, rise**

9 The pound strengthens against the euro. What happens to the sterling cost of the cars a UK dealer imports from Germany?
✔ **It falls**

10 A dealer pays for its forecourt stock with a variable-rate loan. The Bank of England raises interest rates. What is the direct effect on the dealer?
✔ **Its interest costs rise, so profit falls**